NORTHWIND RESEARCH

Example Co.: Initiating at Overweight

Example Co. (EXCO) | Initiation of Coverage | 2026-10-15 | Illustrative data

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Investment Thesis

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Margin expansion is under-appreciated

Key findings

- Revenue grew 12.4% y/y to USD 1,250 million in FY2025E
  - Subscription mix reached 61.0% of revenue, up 4.5 pts
- EBITDA margin expands from 18.2% to 22.6% by FY2027E

Recommendation

- Overweight, price target USD 85.00 (DCF, 9.0% WACC, 3.0% terminal growth)
  - Implies 24.3% upside to the illustrative price of USD 68.40

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Bull vs bear: risk/reward skewed to the upside

Bull case: USD 110.00

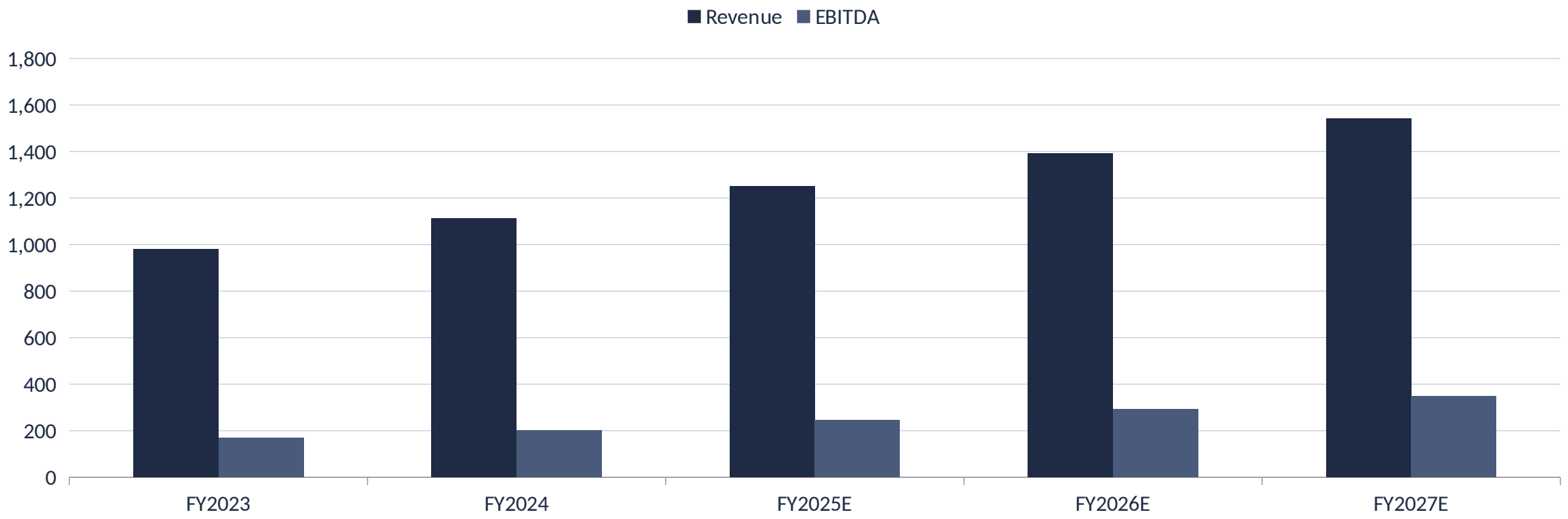
- Enterprise share gains lift growth to 15.0%
- Operating leverage drives 25.0% EBITDA margin
- Buybacks of USD 300 million p.a.

Bear case: USD 55.00

- Pricing pressure caps growth at 6.0%
- Margins stall at 18.0%
- Multiple de-rates to 9.0x EV/EBITDA

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Revenue and EBITDA (USD millions)



Source: Illustrative data, Northwind Research estimates

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Sector Comparables

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Sector comps: Example Co. trades at a discount to peers

Company	Ticker	Mkt cap (USD m)	EV/EBITDA FY26E	P/E FY26E	Rev growth FY26E
Example Co.	EXCO	8,450	10.4x	17.8x	11.2%
Peer Alpha	ALPH	15,200	13.1x	22.4x	9.8%
Peer Beta	BETA	6,730	12.0x	20.1x	8.5%
Peer Gamma	GAMA	21,900	14.6x	24.9x	12.6%
Peer median		15,200	13.1x	22.4x	9.8%

Source: Illustrative data, Northwind Research estimates

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